

## Japan and EU Semiconductors

# Japan/EU Semi Taiwan Import Tracker (Jul 26): SPE import accelerated to +40% YoY



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MOF Taiwan released Jul 2026 semiconductor equipment import data on August 8<sup>th</sup>. We have extracted and analyzed relevant information that has strong significance for our coverage companies. *The relevant Taiwan SPE import data can be downloaded here: [Taiwan SPE Import](#).*

**TW SPE import +40% YoY, 3M MA +1%.** Overall, Taiwan semi equipment imports YoY in July was +40% globally / +54% from Japan. MoM shows a decline from June — globally -22% and -24% from Japan. 3-month moving average is up +1% for global, and +1% for Japan SPE. The strong capex from Taiwan foundry continues to drive strong YoY growth, which supports our positive view on Japan / EU SPE.

**3M -4% for Tester import.** Advantest SoC tester revenue is highly correlated to the Taiwan tester import data which was down -21% MoM, and -14% YoY. 3-month average was -4% MoM. Our regression analysis suggests -6% QoQ for Advantest Taiwan sales with 1-month data, which suggests slight downside to consensus SepQ revenue of +11% QoQ.

**TW litho imports were relatively strong in July at €554mn, down 54% MoM but up 86% YoY** (vs July 2025). The first month of the quarter is typically seasonally weaker. Our regression indicates Taiwan quarterly system sales for ASML of €1.69bn, declining 14% sequentially and up 1% YoY. This implies that Taiwan will account for 19% of the overall system sales, which are expected to reach €8.80bn in Q3 —down from 30% last quarter and from 30% in Q3 2025. Taiwan lithography demand appears to be gaining momentum as TSMC's capacity expansion progresses

**3M +5% for Japan WFE.** The Taiwan import data for the relevant categories to TEL (CVD, dry etching, cleaning, coater & developer, RTP, etc.) suggests a weak July for TEL's Taiwan revenue. July single-month was down -30% MoM, up +80% YoY; 3-month moving average was +5% sequentially. Our regression suggests -13% QoQ for TEL's SepQ Taiwan revenue with a downside to consensus of +18% QoQ.

**3M +5% for cleaning equipment.** Taiwan cleaner import data is -32% MoM and +51% YoY. 3-month moving average is +5% sequentially. Our regression suggests flat QoQ for Screen's SepQ Taiwan revenue, with downside to consensus of +60% QoQ.

## BERNSTEIN TICKER TABLE

| Ticker                   | Rating | 7 Aug 2026 |                  | Price<br>Target | TTM<br>Rel.<br>Perf. | Reported EPS |          |          |          | Reported P/E (x) |       |       |
|--------------------------|--------|------------|------------------|-----------------|----------------------|--------------|----------|----------|----------|------------------|-------|-------|
|                          |        | Cur        | Closing<br>Price |                 |                      | Cur          | 2025A    | 2026E    | 2027E    | 2025A            | 2026E | 2027E |
| 6857.JP (Advantest)      | O      | JPY        | 32,190           | 45,800          | 170.3%               | JPY          | 513.30   | 948.96   | 1,088.87 | 62.7             | 33.9  | 29.6  |
| ASML (ASML)              | O      | USD        | 1,740.99         | 2,859.00        | 121.8%               | USD          | 27.95    | 44.01    | 60.58    | 53.9             | 34.2  | 24.9  |
| ASML.NA (ASML)           | O      | EUR        | 1,499.00         | 2,500.00        | 124.2%               | EUR          | 24.72    | 38.91    | 53.56    | 60.7             | 38.5  | 28.0  |
| 8035.JP (Tokyo Electron) | O      | JPY        | 54,500           | 79,300          | 119.3%               | JPY          | 1,250.88 | 1,687.17 | 2,635.81 | 43.6             | 32.3  | 20.7  |
| 7735.JP (Screen)         | M      | JPY        | 13,085           | 15,000          | 80.4%                | JPY          | 486.61   | 574.49   | 759.55   | 26.9             | 22.8  | 17.2  |
| JPL                      |        |            | 2,643.59         |                 |                      |              |          |          |          |                  |       |       |
| SPX                      |        |            | 7,757.64         |                 |                      |              |          |          |          |                  |       |       |
| EDME                     |        |            | 1,638.96         |                 |                      |              |          |          |          |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

We rate **Advantest** (PT=¥45,800), **Tokyo Electron** (PT=¥79,300), and **ASML** (PT=€2,500.00) Outperform.

We rate **Screen** (PT=¥15,000) Market-Perform.

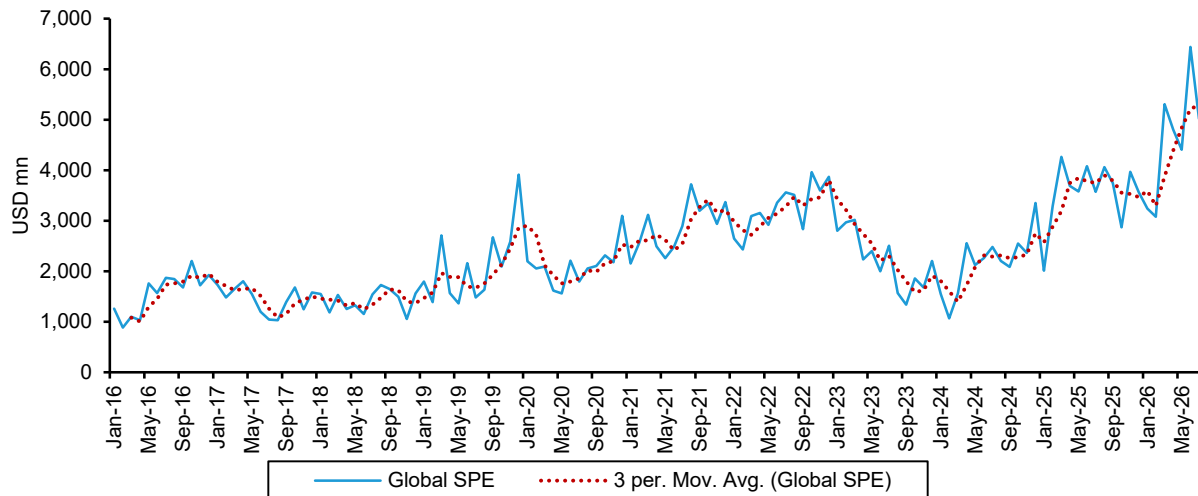
## DETAILS

### TAIWAN SEMI EQUIPMENT IMPORT OVERALL

- Taiwan semi equipment import in Jul 2026 saw MoM decline, with YoY growth of +40% globally / +54% YoY from Japan; MoM was -22% globally and -24% from Japan (Exhibit 1, Exhibit 2).
- 3-month moving average MoM was up +1% globally and +1% from Japan.

EXHIBIT 1: **July Taiwan import for SPE was \$5.0bn, -22% MoM.**

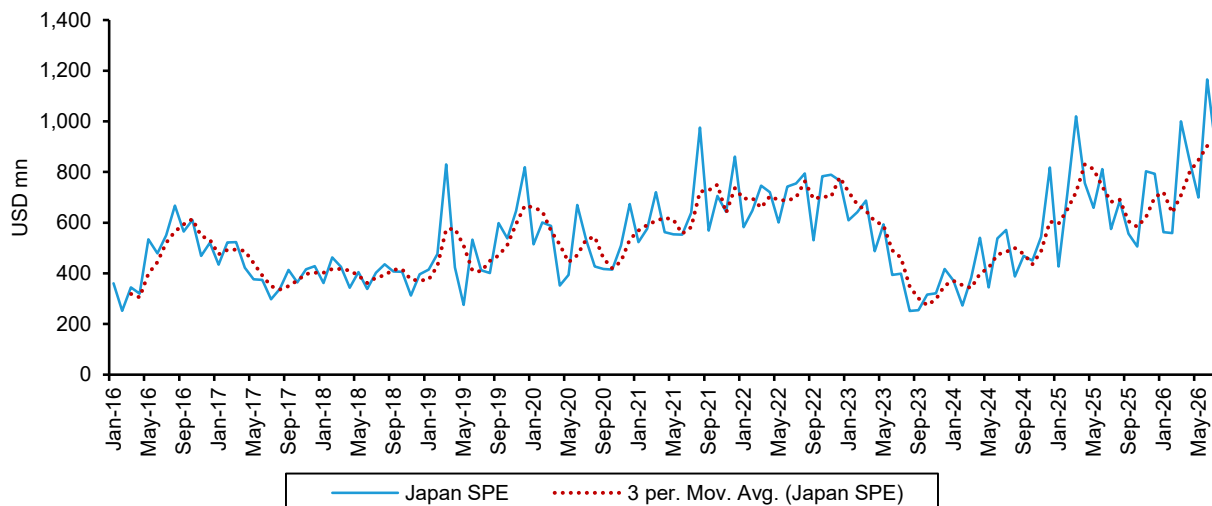
2016-2026: Taiwan monthly SPE import (Global)



Source: Customs Administration of Taiwan, Bernstein analysis

EXHIBIT 2: **Likewise, July Taiwan SPE import from Japan was \$884mn, -24% MoM.**

2016-2026: Taiwan monthly SPE import (Japan)

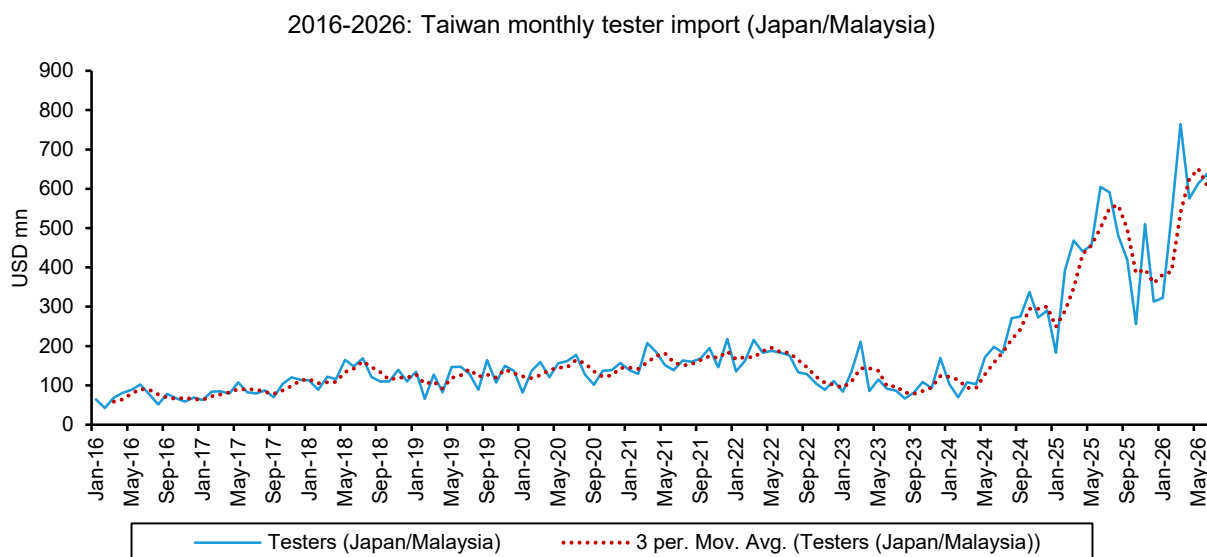


Source: Customs Administration of Taiwan, Bernstein analysis

## ADVANTEST – TAIWAN TESTER IMPORT DATA

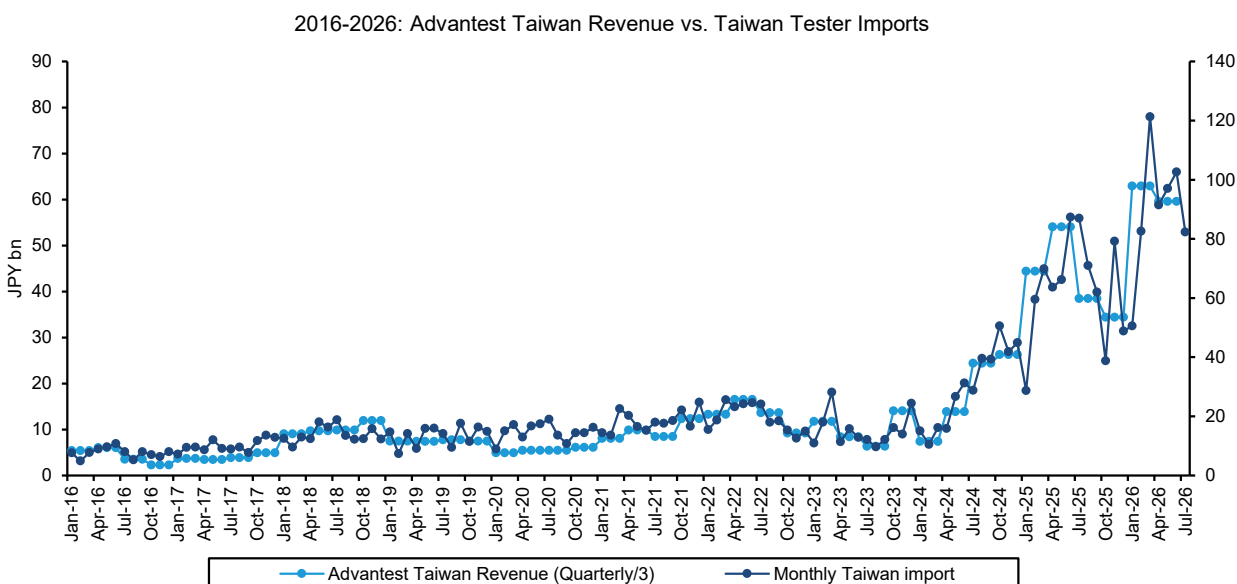
- Advantest SoC tester revenue is highly correlated to the Taiwan tester import (Exhibit 4). TW import of testers in July from Japan and Malaysia was collectively -21% MoM and -14% YoY. 3-month average data is -4% MoM (Exhibit 3).
- Our regression indicates a SepQ Taiwan sales for Advantest of -6% QoQ (Exhibit 5, Exhibit 6), with downside vs. consensus SepQ revenue of +11% QoQ.

EXHIBIT 3: **July tester import from Japan and Malaysia collectively was \$507mn, -21% MoM.**



Source: Customs Administration of Taiwan, Bernstein analysis

EXHIBIT 4: **Taiwan tester imports data shows good directional correlation with Advantest's Taiwan sales.**



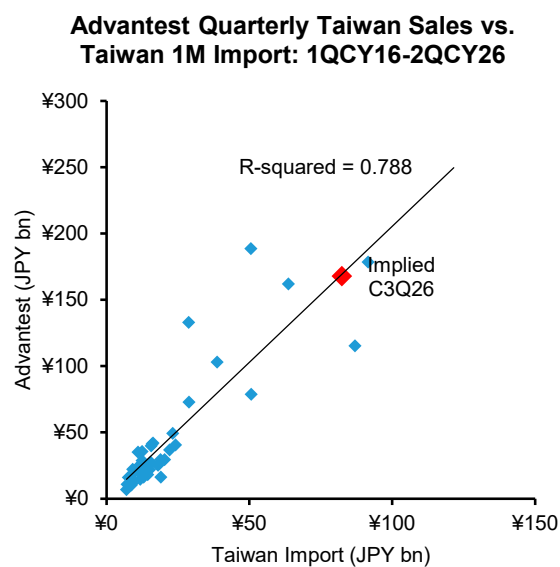
Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

EXHIBIT 5: Our regression analysis indicates SepQ Taiwan sales of -6% QoQ for Advantest.

|              | Revenue (JPY bn)   |                      | QoQ  |
|--------------|--------------------|----------------------|------|
|              | 1QFY27<br>(2QCY26) | 2QFY27E<br>(3QCY26E) |      |
| Taiwan Sales | 179                | 168                  | -6%  |
| Total Sales  | 367                |                      |      |
| Bernstein    |                    | 441                  | 20%  |
| Consensus    |                    | 407                  | 11%  |
| Taiwan %     | 49%                |                      |      |
| Bernstein    |                    | 38%                  | -10% |
| Consensus    |                    | 41%                  | -7%  |

Source: Company disclosures, Bloomberg, Customs Administration of Taiwan, Bernstein estimates and analysis

EXHIBIT 6: Advantest Taiwan sales show decent correlation with 1-month Taiwan import data.

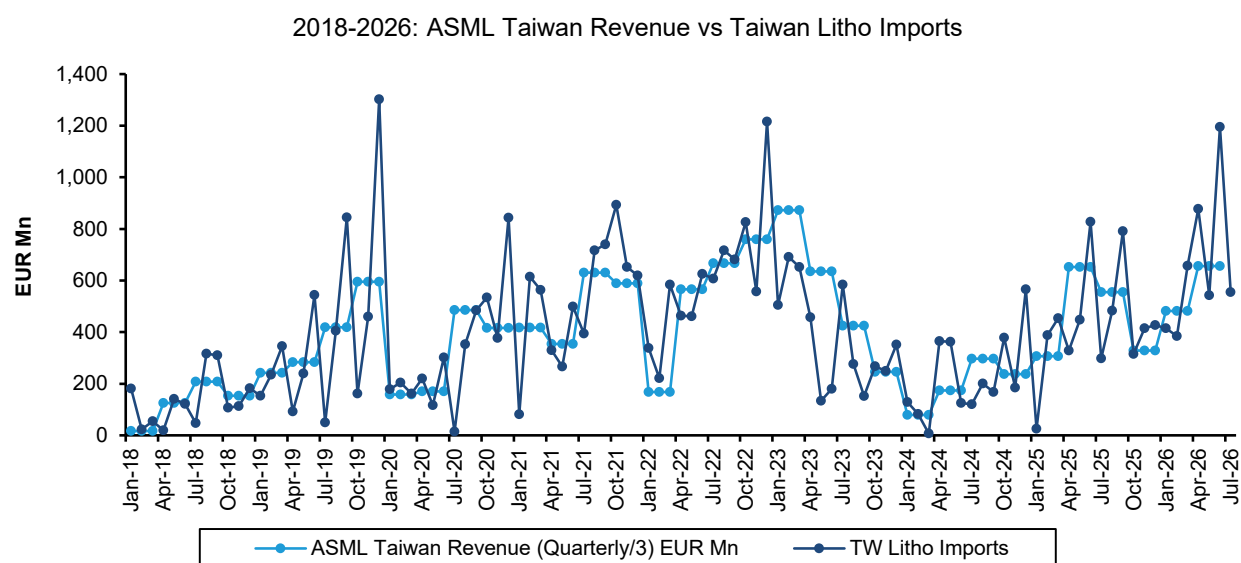


Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

## ASML – TAIWAN IMPORT DATA

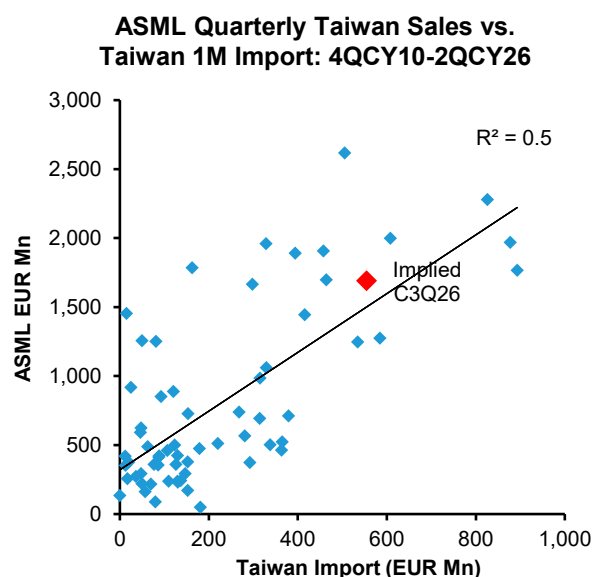
- TW litho imports were relatively strong in July at €554mn, down 54% MoM but up 86% YoY (vs July 2025). The first month of the quarter is typically seasonally weaker. As highlighted in previous reports, monthly import data tend to be lumpy (Exhibit 7).
- Taiwan's 1M lithography import data shows a moderate correlation with ASML's Taiwan system sales, with an  $R^2$  of 53%. Our regression based on 1-month imports indicates Taiwan quarterly system sales for ASML of €1.69bn, declining 14% sequentially and up 1% YoY. This implies that Taiwan will account for 19% of the overall system sales, which are expected to reach approximately €8.80bn in Q3 —down from 30% last quarter and from 30% in Q3 2025. Taiwan lithography demand appears to be gaining momentum as TSMC's capacity expansion progresses (Exhibit 8, Exhibit 9, Exhibit 10).

**EXHIBIT 7: Monthly Taiwan litho Imports and ASML's Taiwan system sales divided by 3 have historically shown a quite solid correlation. July TW litho imports was €554mn, down 54% MoM but up 86% YoY (vs July 2025).**



Source: Company reports, Customs Administration of Taiwan, Bernstein estimates and analysis

**EXHIBIT 8: Taiwan's 1M litho import data shows a modest correlation with ASML's system sales in Taiwan, with an  $R^2$  of 53%. Based on €554Mn in TW litho imports for July our regression estimates ASML's Taiwan system sales at EUR 1.69Bn.**

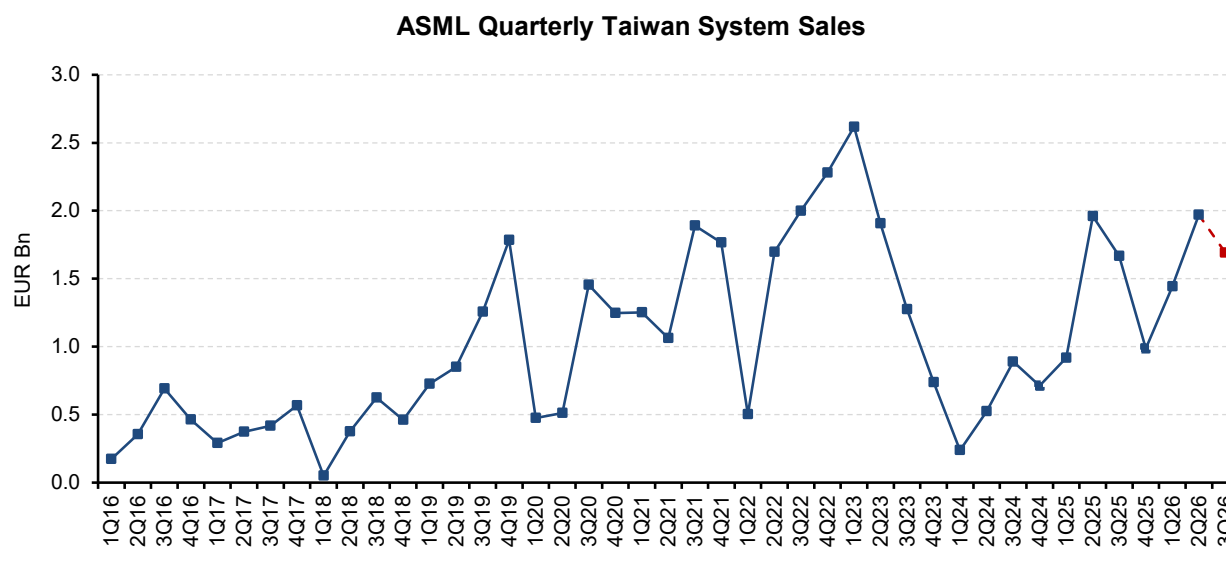


**EXHIBIT 9: The predicted system sales from Taiwan, at €1.69bn, represent a 14% QoQ decline and an up 1% on an annual basis. This implies that Taiwan will account for 19% of the overall system sales, which are expected to reach €8.80bn in Q3.**

|                                | Revenue (EUR Mn) |        |         | YoY  | QoQ  |
|--------------------------------|------------------|--------|---------|------|------|
|                                | 3QFY25           | 2QFY26 | 3QFY26E |      |      |
| ASML Taiwan Sales              | 1,666            | 1,969  | 1,691   | 1%   | -14% |
| ASML System Sales              | 5,554            | 6,565  |         |      |      |
| Bernstein                      |                  |        | 8,839   | 59%  | 35%  |
| Consensus                      |                  |        | 8,803   | 58%  | 34%  |
| <b>TW as % of System Sales</b> | 30%              | 30%    |         |      |      |
| Bernstein                      |                  |        | 19%     | -11% | -11% |
| Consensus                      |                  |        | 19%     | -11% | -11% |

Source: Company reports, Bloomberg, Customs Administration of Taiwan, Bernstein estimates and analysis

**EXHIBIT 10: Based on our regression model, ASML TW system sales should reach €1.69bn in Q3, down 14% sequentially and up 1% YoY.**



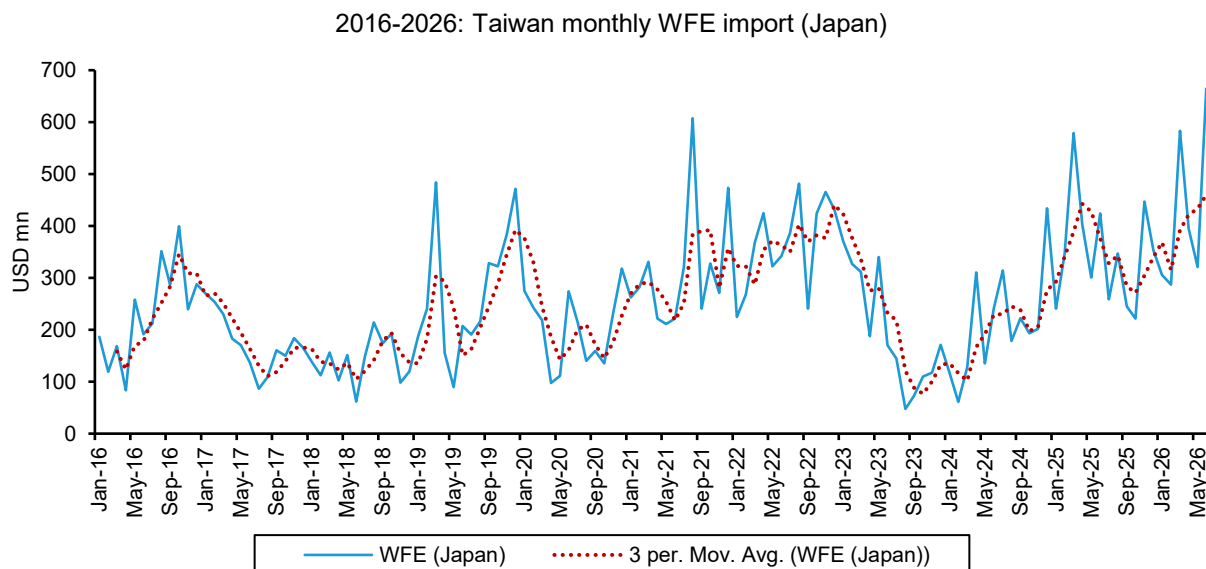
Source: Company reports, Bloomberg, Customs Administration of Taiwan, Bernstein estimates and analysis

## TOKYO ELECTRON – TAIWAN IMPORT DATA

- TEL makes many equipments (CVD, dry etching, cleaning, coater & developer, RTP, etc.) and we try to group all the categories together. The Taiwan import data for the relevant categories has relatively high correlation with TEL's Taiwan revenue. But it's not perfect as MoF doesn't report import by country for some categories (Exhibit 12).

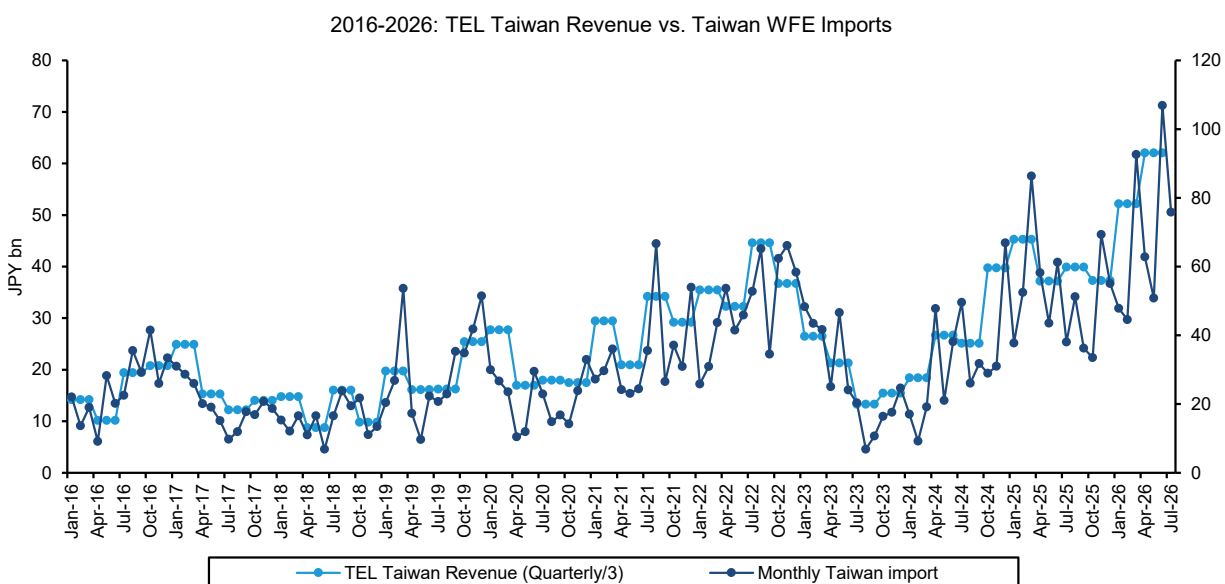
- The import data suggests strength for TEL's Taiwan revenue. For June single-month, it was -30% MoM, and +80% YoY. 3-month moving average was +5% sequentially (Exhibit 11).
- Our regression indicates SepQ Taiwan sales for TEL of -13% QoQ (Exhibit 13, Exhibit 14), which implies a downside vs. consensus sales of +18% QoQ.

**EXHIBIT 11: July import from Japan for WFE equipments where TEL has exposure was collectively -30% MoM.**



Source: Customs Administration of Taiwan, Bernstein analysis

**EXHIBIT 12: Taiwan monthly SPE import from Japan shows good directional correlation with TEL's Taiwan revenue.**



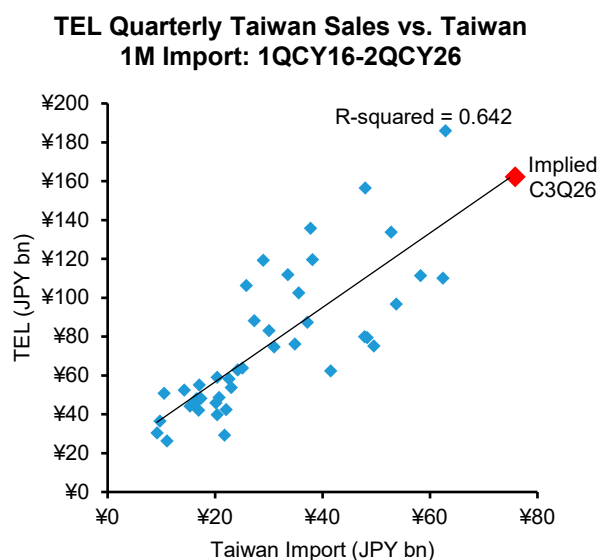
Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

EXHIBIT 13: **Our regression indicates SepQ Taiwan sales of -13% QoQ for TEL.**

|                  | Revenue (JPY bn)   |                      | QoQ  |
|------------------|--------------------|----------------------|------|
|                  | 1QFY27<br>(2QCY26) | 2QFY27E<br>(3QCY26E) |      |
| Taiwan Sales     | 186                | 162                  | -13% |
| Total Sales      | 719                |                      |      |
| Bernstein        |                    | 876                  | 22%  |
| Consensus        |                    | 851                  | 18%  |
| <b>Taiwan %</b>  | 26%                |                      |      |
| <b>Bernstein</b> |                    | 19%                  | -7%  |
| <b>Consensus</b> |                    | 19%                  | -7%  |

Source: Company disclosures, Bloomberg, Customs Administration of Taiwan, Bernstein estimates and analysis

EXHIBIT 14: **TEL Taiwan sales show some correlation with 1-month Taiwan import data.**



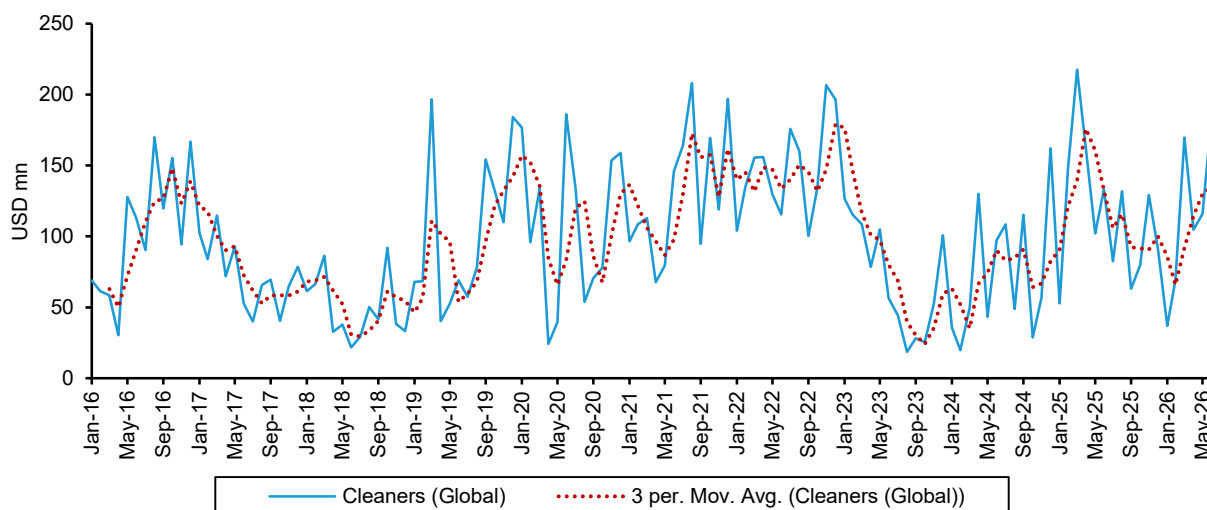
Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

## SCREEN – TAIWAN IMPORT DATA

- The Taiwan cleaner import data has relatively high correlation with Screen's Taiwan revenue. But it's not perfect as MoF doesn't report cleaner import by country. Instead, there is only global import data, and the correlation is weaker (Exhibit 16).
- The cleaner import data showed decline. July import was -32% MoM, and YoY was +51%. 3-month moving average was +5% sequentially (Exhibit 15).
- Our regression indicates SepQ Taiwan sales for Screen of flat QoQ (Exhibit 17, Exhibit 18), with downside to consensus of +60% QoQ.

**EXHIBIT 15: July cleaning SPE import globally was \$125mn, -32% MoM.**

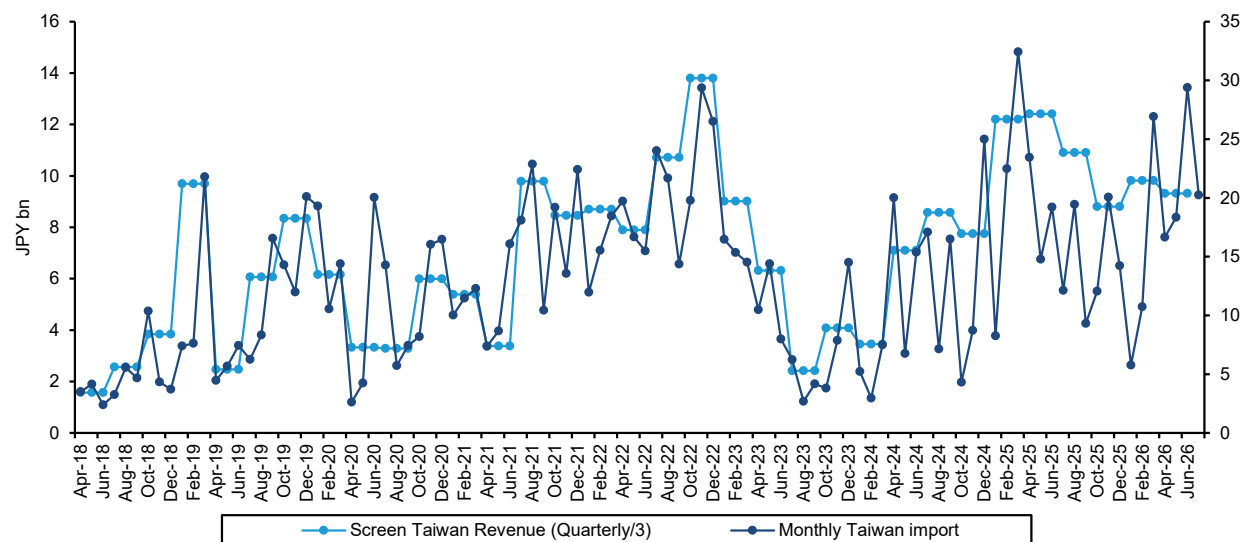
2016-2026: Taiwan monthly cleaner import (Global)



Source: Customs Administration of Taiwan, Bernstein analysis

**EXHIBIT 16: Taiwan cleaning SPE import shows directional correlation with Screen's Taiwan revenue.**

2018-2026: Screen Taiwan Revenue vs. Taiwan Cleaning Imports



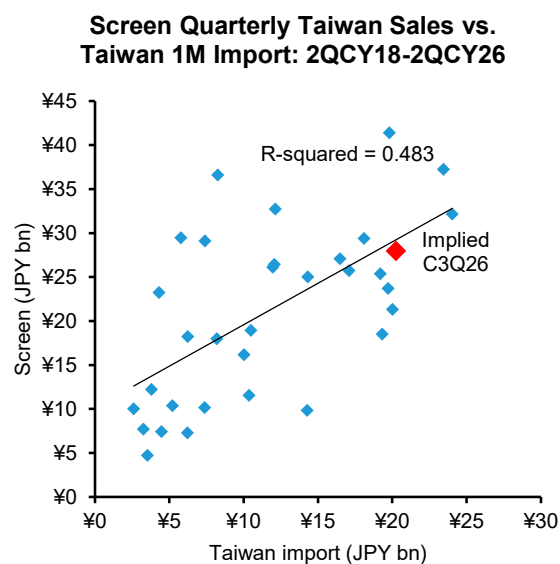
Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

EXHIBIT 17: **Our regression implies SepQ Taiwan sales of flat QoQ for Screen.**

|                  | Revenue (JPY bn)   |                      | QoQ  |
|------------------|--------------------|----------------------|------|
|                  | 1QFY27<br>(2QCY26) | 2QFY27E<br>(3QCY26E) |      |
| Taiwan Sales     | 28                 | 28                   | 0%   |
| Total SPE        | 93                 |                      |      |
| Bernstein        |                    | 157                  | 68%  |
| Consensus        |                    | 149                  | 60%  |
| <b>Taiwan %</b>  | 30%                |                      |      |
| <b>Bernstein</b> |                    | 18%                  | -12% |
| <b>Consensus</b> |                    | 19%                  | -11% |

Source: Company disclosures, Bloomberg, Customs Administration of Taiwan, Bernstein estimates and analysis

EXHIBIT 18: **Screen Taiwan sales show less correlation with 1-month Taiwan import data.**



Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

## DISCLOSURE APPENDIX

**I. REQUIRED DISCLOSURES**

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

**VALUATION METHODOLOGY****Advantest Corp**

*We set a price target of ¥45,800 using a P/E multiple of 40x against our forward Q5-Q8 EPS estimate.*

**ASML Holding NV**

For ASML, we apply a 40x P/E multiple to our Q5-8 EPS estimate to get a rounded PT of €2,500. For the ASML US listing we apply the EUR/US\$ exchange rate to get to a rounded PT of USD 2,859.

**Tokyo Electron Ltd**

*We set a ¥79,300 price target using a P/E multiple of 28x against our forward Q5-Q8 EPS estimate.*

**Screen Holdings Co Ltd**

*We set a ¥15,000 price target using a P/E multiple of 19x against our forward Q5-Q8 EPS estimate.*

**RISKS****Advantest Corp**

There are a number of downside risks to our Advantest target price: (1) End demand of AI-related production such as GPUs and HBM resulting in both multiple and earning power fluctuations (2) Changes in competitive environment (3) Exchange rate fluctuation.

**ASML Holding NV**

Downside risks to our price target for ASML include margins coming below expectation because of the higher cost to commercialise EUV and advance EUV to new generations, larger than expected China over-stocking, weaker than expected WFE market, slower technology migration and the threat from other technologies in the long run, and further tightened export control on China customers.

**Tokyo Electron Ltd**

There are a number of downside risks to our TEL target price: (1) Changes in US trade restriction which are unfavorable to China's and global semiconductor capex (2) Slowdown in global semiconductor demand including both logic and memory, which trigger reduced or increased capex and capacity expansion (3) Unfavorable exchange rate fluctuation posing a downside risk to overall Japan market

**Screen Holdings Co Ltd**

Upside risks to our Screen target price: (1) Stronger-than-expected adoption of Screen's direct patterning and wet etching (2) Further signs of weakness in competitive environment, especially in China (3) Favorable exchange rate fluctuation. Downside

risks: (1) Weaker-than-expected in China from investment peak-out (2) Faster pace of Chinese local substitution (3) Unfavorable exchange rate fluctuation.

## **RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**

### **EQUITY RATINGS DEFINITIONS**

#### **Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

#### **Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

### **Autonomous brand – preferred stocks**

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

### **AUTONOMOUS CREDIT RESEARCH**

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

### **CREDIT RATINGS DEFINITIONS**

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

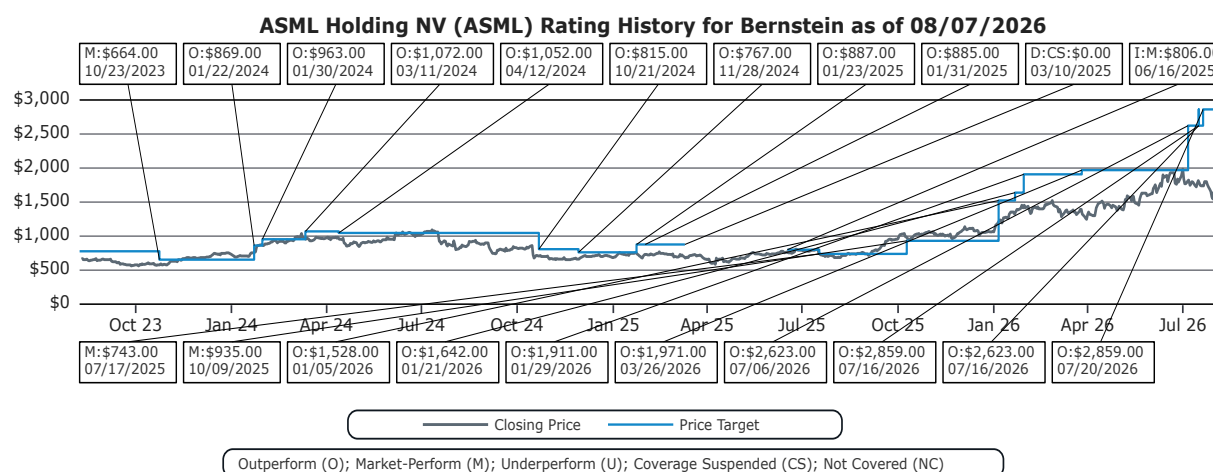
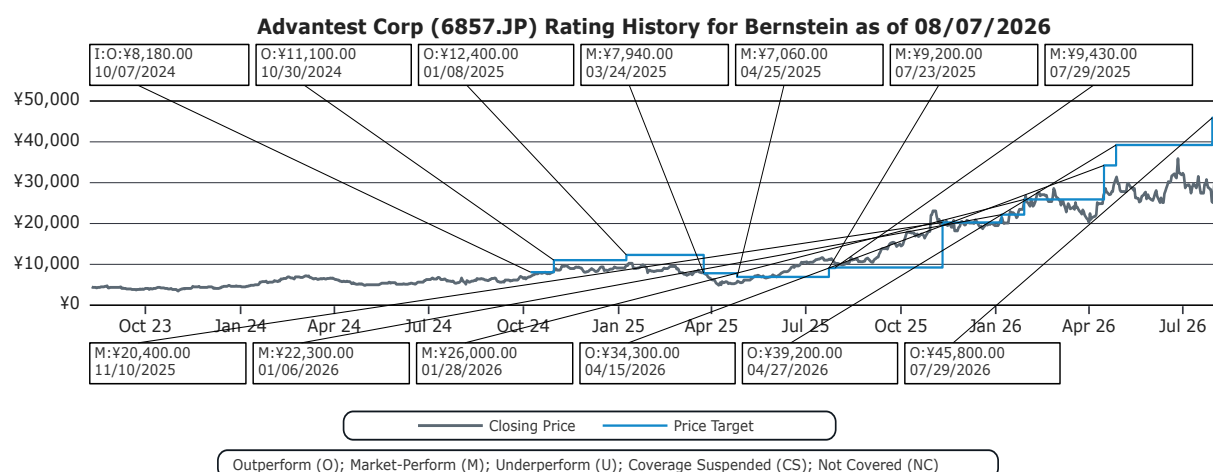
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

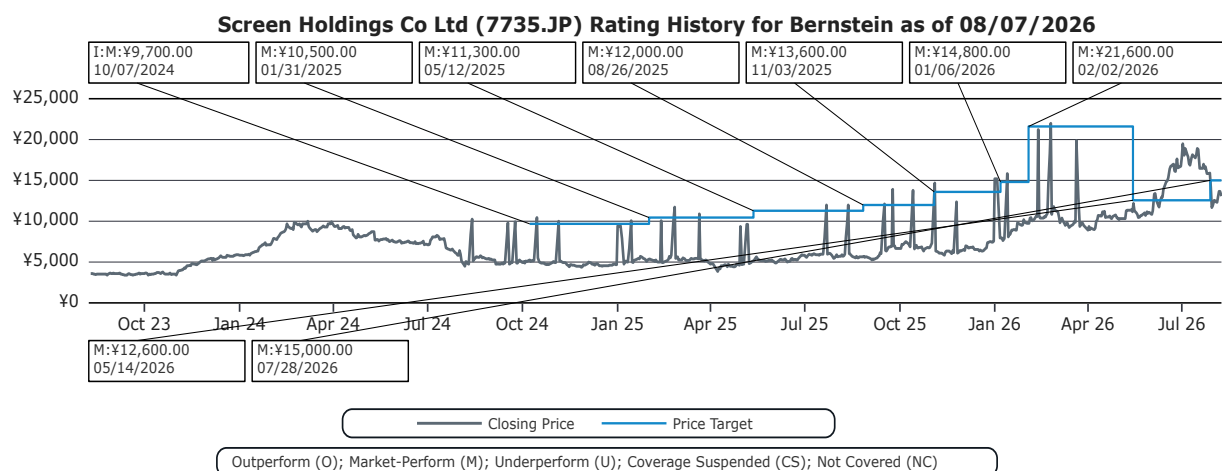
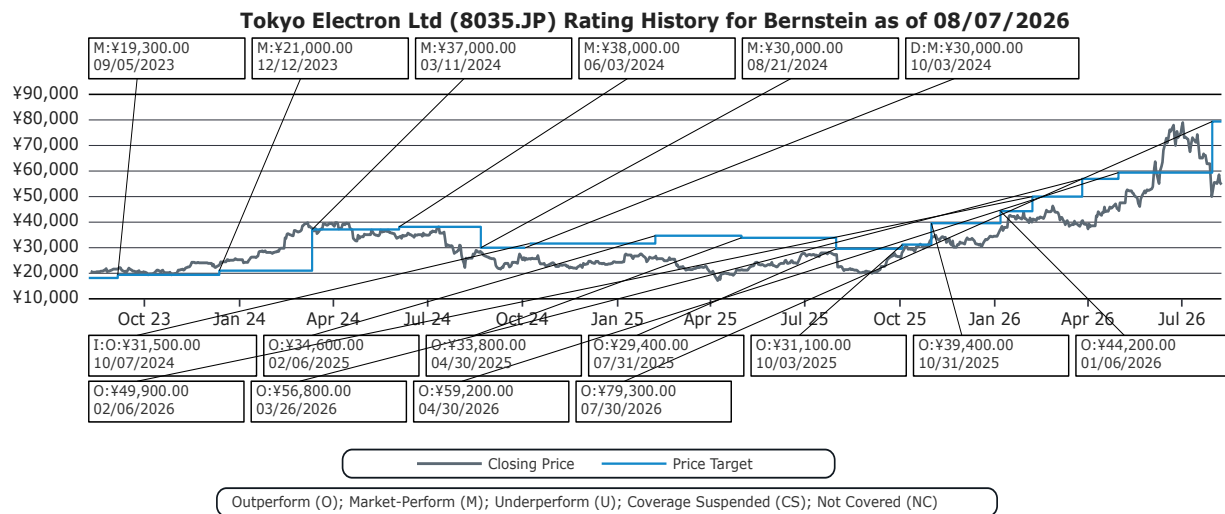
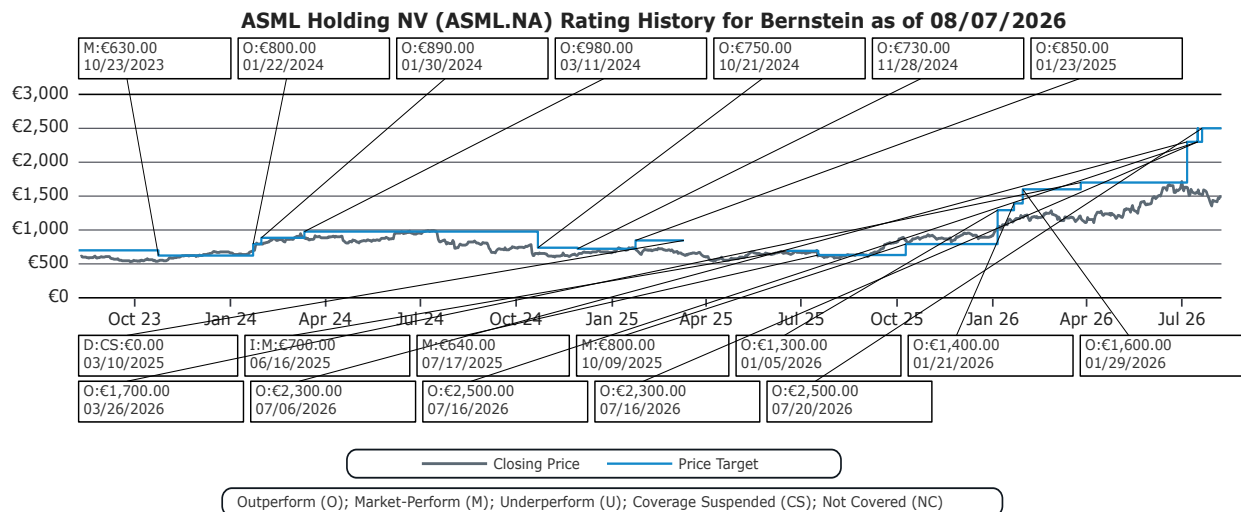
**DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES**

| Equity Rating                                                  | Market Abuse Regulation (MAR) and FINRA Rating Category | Global Rating Distribution | Investment Banking Relationships* |
|----------------------------------------------------------------|---------------------------------------------------------|----------------------------|-----------------------------------|
| Outperform                                                     | BUY                                                     | 51.2%                      | 15.3%                             |
| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 35.8%                      | 16.2%                             |
| Underperform                                                   | SELL                                                    | 13.1%                      | 13.6%                             |

\* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

**PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY**



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

## CONFLICTS OF INTEREST

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